

Green Brick Partners, Inc.

GRBK | October 4, 2026

SELL

Fair value (12-mo horizon reference)	\$41.00
Current price (October 2, 2026 close)	\$66.66
Implied upside / downside	-39%
Verdict	SELL

Investment Thesis

Green Brick Partners is a well-managed Sunbelt homebuilder being valued as though the housing cycle had been abolished. The company has grown impressively, concentrated in Texas and other high-growth Sunbelt markets, with a land-light option model in several divisions and a deserved reputation for operational execution. But homebuilding is among the most cyclical industries in the economy, and Green Brick's current earnings reflect cyclical peak conditions: constrained resale supply, elevated prices, and margins fattened by years of underbuilding.

Those conditions are normalizing. Affordability sits near historic lows — the combination of elevated home prices and mortgage rates has pushed the monthly payment on a median new home beyond the reach of the median household in Green Brick's core markets. Builders are responding the way they always do: incentives, rate buydowns, and price reductions that compress margins from both ends. Order rates are softening, cancellation rates are rising, and spec inventory is building.

The valuation math is unforgiving for cyclical peaks. At \$66.66, the market pays a full multiple of earnings that are themselves at a cyclical high — the classic late-cycle trap of a low P/E on peak E. On a through-cycle basis, normalizing margins to mid-cycle levels and applying a discount rate appropriate for a leveraged cyclical (12%), the shares are worth \$41.00, 39% below the current price. Homebuilders do not decline gracefully from peaks; earnings have further to fall than the price implies.

Investors sometimes argue that Green Brick's premium land positions and Texas footprint justify a premium multiple through the cycle. We agree the footprint is superior — which is exactly why the shares should be bought after the downturn impairs lesser builders, not before. Quality homebuilders outperform by surviving downturns with balance sheets intact and buying distressed land from failures; paying peak prices for that quality inverts the entire logic of cyclical investing.

We rate the shares SELL. The business is good; the cycle is not. Investors are being paid nothing for the downside of owning a cyclical at the top, and the downside in homebuilding downturns is measured not in

multiple compression but in land impairments and earnings collapses. SELL.

Business Overview

Green Brick Partners is a residential homebuilder focused on high-growth Sunbelt markets, principally the Dallas–Fort Worth metroplex along with other Texas markets, Atlanta, and select Southeast markets. The company builds single-family homes across move-up and luxury price points, operating through subsidiary builders, and controls land through a mix of ownership and option contracts.

The investment case for Green Brick has rested on superior market selection — building where population and job growth are strongest — and disciplined land underwriting. These are real advantages. They are also advantages that matter most in downturns, when land bought at peak prices across the industry must be written down; discipline is tested by the cycle, not exempt from it.

Forward Outlook

The rental and build-to-rent channel warrants mention as a partial offset: institutional demand for single-family rentals has absorbed some new supply and could cushion order declines. But institutional buyers are the most price-sensitive marginal buyers in the market — they underwrite to cap rates, and higher rates have already thinned their bids. We model modest support from this channel, not salvation.

Our judgment is that Green Brick is entering the difficult phase of the housing cycle. We expect net orders to decelerate through 2027 as affordability constraints bite, with the company increasingly reliant on incentives — mortgage rate buydowns, closing-cost credits, and outright price cuts — to maintain absorption pace. Each of these compresses gross margins, which we expect to retreat several hundred basis points from peak levels toward historical mid-cycle norms.

The land book is the swing factor. Lots contracted or purchased at 2024–2025 prices embed peak land economics; if home prices soften even modestly, option deposits are abandoned and owned land faces impairment. Green Brick's underwriting has been better than most, but no underwriting survives a demand shock unscathed, and the balance sheet will absorb the cycle's costs before shareholders see the benefits of the next upturn.

Longer term, the Sunbelt demographic thesis remains intact — people and jobs continue migrating to Green Brick's markets, which supports a strong recovery when affordability normalizes. But housing cycles run in years, not quarters, and the current price offers no compensation for waiting through the down leg. Our \$41.00 target approximates through-cycle value; the path there is likely to be volatile.

Valuation

We value Green Brick on a 10-year scenario DCF at a 12% base discount rate, appropriate for a leveraged cyclical business, with terminal value on normalized mid-cycle homebuilding margins — not today's elevated margins. Our bear case assumes a genuine housing downturn: orders fall sharply, margins compress toward trough levels, and land impairments destroy book value. The base case assumes a moderate correction — margins normalizing over three years, impairments limited to option walk-aways, and a recovery beginning late in the decade. The bull case assumes the soft landing: affordability improves via rate declines, demand holds, and margins stay above historical norms.

Probability-weighting the scenarios 25% / 50% / 25% produces a fair value of \$41.00, our target. The bear case sits far below the current price — the nature of late-cycle homebuilding, where peak earnings mask the leverage to a downturn.

Key Risks

- Housing demand shock: further rate increases or recession would collapse order rates.
- Margin compression from incentives, buydowns, and price cuts as builders compete for scarce buyers.
- Land impairments if home prices soften on lots contracted at peak prices.
- Sunbelt supply response: competing builders adding inventory in Green Brick's core markets.
- Cancellation rates spiking, stranding spec inventory.
- Concentration in Texas markets amplifies exposure to regional economic shocks.
- Texas energy-sector downturn compounding a housing correction in Green Brick's core markets.
- Rising property taxes and insurance costs in Sunbelt markets further eroding affordability.

What Would Change Our Mind

- A sustained decline in mortgage rates restoring affordability without a recession.
- Net orders reaccelerating for two consecutive quarters with stable or rising margins and no incremental incentives.
- Demonstrable land impairments already taken and reserved, clearing the balance-sheet overhang.
- The shares trading at or below tangible book value, pricing in the downturn we expect.
- Green Brick acquiring distressed land or a distressed competitor at trough prices — the classic quality-builder move that would signal the cycle has bottomed.

Valuation Approach

Our valuation is a probability-weighted scenario DCF. We model bear, base, and bull cases over an explicit forecast horizon — 10 years for most businesses, 15 years for businesses meeting our compounder-quality criteria (10+ years of ROIC above 15%, stable or expanding gross margins, free-cash-flow conversion above 80%, all verified from history, never projected) — weighted 25% / 50% / 25%. Discount rates are scenario-specific: the base rate reflects fundamental business risk (9% for stable franchises, 10% standard, 12% or higher for speculative situations; 8–8.5% for compounder-quality businesses whose predictable cash flows genuinely lower risk); the bear case adds 250bp, the bull case subtracts 150bp (floor 8%). Terminal value assumes no more than 2.5% perpetual growth (3.0% for compounder-quality businesses) applied to normalized mid-cycle margins — never peak margins — and any terminal value exceeding 70% of enterprise value is haircut and disclosed. Bear cases are required to be genuinely adverse and to sit below the current price. Management guidance is never accepted at face value; it is independently tested and haircut where evidence warrants. For international businesses we add an explicit country-risk premium to the discount rate and benchmark multiples against regional peers facing similar risks, never US peers alone; structural risks (e.g. VIE structures, regulatory confiscation) are modeled in cash flows and the bear case. We value this business over a 10-year horizon at a 12% base discount rate.

Disclaimer

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